

Court No. - 34

Impleadment Application No..... of 2009

IN

Case :- WRIT - C No. - 23877 of 2006

Petitioner :- Lakshmi Oil And Vanaspati Pvt. Ltd.

Respondent :- State Of U.P. And Others

Petitioner Counsel :- Ashwani Mishra

Respondent Counsel :- C.S.C.,Ranjeet Saxena

Hon'ble Prakash Chandra Verma,J.

Hon'ble S.C. Agarwal,J.

Impleadment application is allowed.

Let necessary amendment be incorporated within a week.

Steps shall be taken for service on the newly added respondent within a period of one week.

Order Date :- 22.10.2009

KU

Court No. - 9

Case :- WRIT - C No. - 23877 of 2006

Petitioner :- Lakshmi Oil And Vanaspati Pvt. Ltd.

Respondent :- State Of U.P. And Others

Petitioner Counsel :- Ashwani Mishra

Respondent Counsel :- C.S.C.,Ranjeet Saxena

Hon'ble Vijay Manohar Sahai,J.

Hon'ble Ritu Raj Awasthi,J.

List in the next cause list showing the name of Sri H.P.Dube as counsel for the respondents.

Order Date :- 23.2.2010

PK

Court No. - 9

Case :- WRIT - C No. - 23877 of 2006

Petitioner :- Lakshmi Oil And Vanaspati Pvt. Ltd.

Respondent :- State Of U.P. And Others

Petitioner Counsel :- Ashwani Mishra

Respondent Counsel :- C.S.C.,Ranjeet Saxena

Hon'ble Vijay Manohar Sahai,J.

Hon'ble Ritu Raj Awasthi,J.

Learned counsel for the petitioner is allowed a week's time to file application for impleading U.P.Vidyut Vitaran Nigam through its Managing Director and U.P. Finance Corporation through its Managing Director.

List thereafter.

Order Date :- 8.3.2010

SC

Court No. - 9

Case :- WRIT - C No. - 23877 of 2006

Petitioner :- Lakshmi Oil And Vanaspati Pvt. Ltd.

Respondent :- State Of U.P. And Others

Petitioner Counsel :- Ashwani Mishra

Respondent Counsel :- C.S.C., Ranjeet Saxena

Hon'ble Vijay Manohar Sahai, J.

Hon'ble Ran Vijai Singh, J.

As prayed, list after six weeks.

Order Date :- 6.10.2010

PK

Court No. - 34

Case :- WRIT - C No. - 23877 of 2006

Petitioner :- Lakshmi Oil And Vanaspati Pvt. Ltd.

Respondent :- State Of U.P. And Others

Petitioner Counsel :- Ashwani Mishra

Respondent Counsel :- C.S.C., Ranjeet Saxena

Hon'ble Prakash Chandra Verma, J.

Hon'ble Virendra Singh, J.

By means of this petition, the petitioner has sought a writ of mandamus to command the Power Corporation to give electricity connection to the petitioner for running its factory.

The petitioner was denied electricity connection on the ground that there was electricity dues on the previous owner of the factory.

Shri H.P. Dubey, learned counsel for the respondents very emphatically submitted that no connection can be provided to the factory in view of the provisions framed under U.P. Electricity Supply Code 2005. Chapter 4 of the U.P. Electricity Supply code deals with the procedure for grant of supply of connection. Clause 4.1 deals with the obligation to supply on the licensee which reads as under:

"4.1 Licensee's Obligation to supply

The licensee shall on an application by the owner or occupier of any premises, located in his area of supply, give supply of electricity to such premises within the one month after receipt of completed application and payments.

Provided where such supply requires extension of distribution

mains, or commissioning of new sub-stations, the distribution Licensee shall supply the electricity to such premises immediately after such extension or commissioning or within such period as specified by the Commission in Clause 4.8.

Provided also in case of application for supply from a village or hamlet or area wherein no provision for supply of electricity exists, the Commission shall extend the time period for provision of supply appropriately on a case to case basis.

Provided further that in case of arrears of electricity dues in respect of any of old consumers, the new connection shall be released to the new owners only after submission of No-dues certificate as provided in Clause 4.3 (f)

And provided that if there are arrears of electricity dues on a consumer, the connection shall not be released to a new applicant if,

(i) The applicant (being an individual) is an associate or relative (as defined in Section 2 and 6 respectively of the Companies Act 1956) of the defaulting consumer.

(ii) Or where the applicant being a company or body corporate or association or body of individuals, whether incorporated or not, or artificial juridical person, is controlled, or having controlling interest in the defaulting consumer, provided , the licensee shall not refuse electric connection on this ground, unless an

opportunity to present his case is provided to the applicant and a reasoned order is passed by an officer as designated by the licensee."

For new connection provision has been made under 4.3 which reads as under:

"4.3 New Connections General

(f) Where the applicant has purchased existing property it shall be the duty of applicant to verify that old owner has paid all dues to the licensee and has obtained no-dues certificate from licensees. In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no-dues certificate by giving the reference of the connection in said premises. The licensee shall either intimate the pending dues, if any, on the premises or issue no dues certificate within two months from the date of application . The application shall be processed by licensee on clearing of dues only by the new owner."

Learned counsel for the Power Corporation has placed reliance on the proviso to clause 4.1 wherein it has been provided that if there are arrears of electricity dues on consumer, the new connection shall not be released to new applicant.

He further led emphasis on sub clause (f) of 4.3 quoted above that the petitioner ought to have verify the electricity dues from whom the property was purchased by him.

Thus reading of sub clause (f) of 4.3. alongwith last proviso appended clause 4.1 it is evidently clear that the electricity can not be given to the petitioner in view of the electricity provisions.

The petitioner has purchased the factory in auction sale which was sold for recovery of the dues of U.P. Financial Corporation on the previous owner of the factory. The certificate of sale has been annexed with the writ petition which says that the factory alongwith premises has been transferred to the petitioner free from all encumbrances. Thus the certificate is self no dues certificate in so far as the petitioner is concerned and the authorities ought to have consider it as no objection towards electricity dues on the petitioner as the land has been transferred to him free from all encumbrances.

Similar view has been taken in respect of new connection to the purchaser of the factory sold under section 29 (1) of State Financial Corporation Act. in the case of Isha Marbles Vs. Bihar State Electricity Board and another reported in 1995) 2 SCC 648. In this case while dealing for grant of new connection Hon. Apex Court has held that new purchaser can not be said to be "consumer of occupier" given under the electricity Act as there was no contract prior to the purchase of the property between the purchaser and the electricity supply company.

The factual position is the same as was in the case of Isha Marbles

Vs. Bihar State Electricity Board and another reported in 1995) 2 SCC 648. who was also purchaser was earlier not having connection and for new connection he can not be said to be defaulter and it can not be said that there is dues against the petitioner. Moreover, the sale certificate is itself evidence that the property has been transferred to him, free from all encumbrances. Therefore, the power corporation can not be exempted from the obligation imposed under clause 4.1 of Chapter 4 of U.P. Electricity Supply Code.

For the reasons recorded above, the writ petition is **allowed**. The order dated 19.4.2006 is quashed. The U.P. power Corporation is directed to provide electricity connection to the petitioner within a period of one month from the date of production of a certified copy of this order.

It is made clear that if the dues of the electricity is there against the previous owner, the U.P. Power Corporation may proceed in accordance with law to recover arrears of the electricity dues from the previous owner of the factory.

Order Date :- 30.11.2010
Jaideep/-